

EQUITY RESEARCH · COMPANY DEEP DIVE

Alphabet Inc. (GOOGL.US)

HOLD

Composite · Valuation: UNDERWEIGHT  
Blended Target: \$306.26  
Implied upside: -9.2%

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$337.39

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$306.26 (-9.2% vs \$337.39); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: HOLD (score +0.05, confluence 75%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$306.26. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

| Item          | Value               | Item         | Value      |
|---------------|---------------------|--------------|------------|
| Market Cap    | \$4.12T             | Shares Out.  | 5867.2M    |
| 52-Week Range | \$172.77 – \$408.61 | P/E (TTM)    | 25.7x      |
| P/B           | 8.5x                | Beta         | 1.24       |
| Avg Volume    | 31.76M              | Analyst Rec. | Strong_Buy |
| Revenue (TTM) | \$422.50B           | Rev Growth   | +21.8%     |
| Op. Margin    | 36.1%               | FCF (TTM)    | \$73.27B   |



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 350,018  | 402,836  | 490,654  | 569,208  | 637,268  |
| Revenue Growth (%)      | N/A      | 15.1%    | 21.8%    | 16.0%    | 12.0%    |
| Net Income (\$M)        | 100,118  | 132,170  | 160,983  | 186,756  | 209,087  |
| Net Income Growth (%)   | N/A      | 32.0%    | 21.8%    | 16.0%    | 12.0%    |
| Gross Margin (%)        | 58.2%    | 59.7%    | 60.4%    | 60.4%    | 60.4%    |
| Net Margin (%)          | 28.6%    | 32.8%    | 32.8%    | 32.8%    | 32.8%    |
| ROE (%)                 | 30.8%    | 31.8%    | 38.8%    | 40.8%    | 43.5%    |
| EPS (\$)                | 17.06    | 22.53    | 27.44    | 31.83    | 35.64    |
| Book Value / Share (\$) | 55.41    | 70.78    | 70.78    | 78.03    | 81.93    |
| P/E (x)                 | 19.77    | 14.98    | 12.30    | 10.60    | 9.47     |
| P/B (x)                 | 6.09     | 4.77     | 4.77     | 4.32     | 4.12     |
| Dividend Yield (%)      | 26.0%    | 26.0%    | 26.0%    | 26.0%    | 26.0%    |

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.40). Strengths: Revenue CAGR 12.5% (3Y); Current ratio 2.01x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: -17.2% revenue growth; Y3 revenue \$679.39B.

| Metric                     | Value                 | Assessment       |
|----------------------------|-----------------------|------------------|
| FSA Health Score           | +0.40                 | Strong           |
| Revenue CAGR (3Y)          | 12.5%                 |                  |
| Net Income CAGR (3Y)       | 30.1%                 |                  |
| Gross Margin Trend         | Deteriorating         |                  |
| Operating Margin Trend     | Deteriorating         |                  |
| Current Ratio              | 2.01x                 | Liquidity        |
| Debt / Equity              | 20%                   | Leverage         |
| ROE                        | 38.9%                 | Profitability    |
| FCF / Net Income           | 0.55x                 | Earnings quality |
| Proj. Revenue (Y1 / Y3)    | \$494.98B / \$679.39B | @17.2%           |
| Proj. Net Income (Y1 / Y3) | \$141.25B / \$193.87B | Margin × (1-tax) |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                     | Metric               | Value  | Notes      |
|--------------------|----------|-----------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$374.69 | Short-term trend                                          | 12m Momentum         | +95.0% |            |
| SMA (252d)         | \$289.27 | Long-term trend                                           | 3m Momentum          | +23.1% |            |
| RSI (14d)          | 29.4     | Momentum oscillator                                       | Ann. Volatility      | 31.5%  |            |
| Trend              | Bullish  |                                                           | Sharpe Ratio         | 0.60   | Rf=4%      |
| Golden Cross (20d) | No       |                                                           | Max Drawdown         | -44.3% |            |
| Death Cross (20d)  | No       |                                                           | Rel. Strength vs SPY | +95.3% |            |
| TA Signal          | BULLISH  | Price above SMA42; SMA42 > SMA252; RSI 29 — oversold zone | Quant Score          | +0.50  | POSITIVE   |
|                    |          |                                                           | SMA Backtest (ann.)  | 28.3%  | B&H; 31.1% |

INDUSTRY CONTEXT

**Industry Snapshot** — Communication Services / Internet Content & Information. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products and services, including ads, Android,...

**Trends:** Strong top-line growth (21.8% YoY); High operating leverage (36.1% margin); Above-market volatility (β=1.24)

**Risks:** Standard sector cyclicality and macro exposure

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VALUATION CROSS-CHECK

| Valuation Method                                       | Implied Price | vs. Current | Weight in Target | Notes                                                                                        |
|--------------------------------------------------------|---------------|-------------|------------------|----------------------------------------------------------------------------------------------|
| DCF (Simon FCFE)                                       | \$258.06      | -23.5%      | —                | Not in blend                                                                                 |
| Profile template weights                               | —             | —           | —                | High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15% |
| Comps — 52-week range anchor                           | \$306.26      | -9.2%       | —                | Tri-mean of 52w high, low, and current (large cap)                                           |
| Comps — EV/EBITDA (peer median)                        | \$364.35      | +8.0%       | —                | Peer median 12.0x                                                                            |
| Comps — P/S (peer median)                              | \$297.46      | -11.8%      | —                | Peer median P/S 4.1x                                                                         |
| Comps — Blended (median of multiples + uplift anchors) | \$306.26      | -9.2%       | 100%             | Included in blend                                                                            |
| Analyst consensus (Yahoo Finance)                      | \$432.83      | +28.3%      | 0% (excluded)    | Analyst consensus lags / diverges >35% from comps                                            |
| Blended target (weighted)                              | \$306.26      | -9.2%       | 100%             | Comps 100%                                                                                   |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 10.80%    |
| Terminal g          | 4.00%     |
| FCFE growth         | 10.00%    |
| Base FCFE           | \$73.27B  |
| PV explicit (5Y)    | \$377.30B |
| PV terminal         | \$1.14T   |
| Equity value (adj.) | \$1.51T   |
| Implied price       | \$258.06  |
| vs. current         | -23.5%    |

INDUSTRY & COMPETITIVE LANDSCAPE

**Industry Overview**

Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It operates through Google Services, Google Cloud, and Other Bets segments. The Google Services segment provides products...

**Key Trends**

- Strong top-line growth (21.8% YoY)
- High operating leverage (36.1% margin)
- Above-market volatility (β=1.24)
- Sector: Communication Services | Industry: Internet Content & Information

**Risk Factors**

- Standard sector cyclicality and macro exposure

PEER COMPARISON

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| META   | Meta Platforms, Inc.   | \$1.40T    | 20.0x | 12.8x     | 32.8%      | +33.1%     |
| NFLX   | Netflix, Inc.          | \$310.80B  | 23.8x | 22.1x     | 28.5%      | +16.2%     |
| DIS    | Walt Disney Company (T | \$171.55B  | 15.8x | 11.1x     | 11.5%      | +6.5%      |
| SNAP   | Snap Inc.              | \$7.31B    | N/A   | -35.9x    | -6.7%      | +12.1%     |
| GOOGL* | Alphabet Inc.          | \$4.12T    | 25.7x | 25.1x     | 37.9%      | +21.8%     |

\* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.